Divis Laboratories Ltd

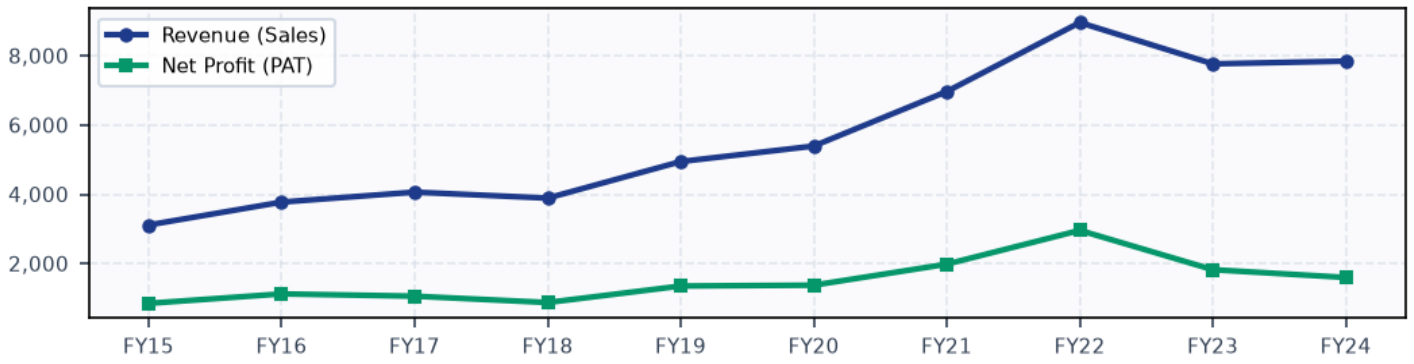
NSE: DIVISLAB | **Sector:** Healthcare | **Peer Group:** Pharmaceuticals

N100 INSTITUTIONAL TEARSHEET
Fiscal Reference: FY2024
Currency: INR (■ Crore)

RETURN ON EQUITY (ROE)	RETURN ON CAPITAL (ROCE)	DEBT TO EQUITY (D/E)
11.8%	**13.5%**	**0.00x**
▼ Below Sector Med (15.6%)	▼ Below Sector Med (19.2%)	▲ Low Leverage vs Med 0.05x

REVENUE CAGR (3YR)	COMPOSITE SCORE	OPERATING MARGIN (OPM)
4.0%	**44.9**	**28.2%**
▼ Below Sector Med (10.4%)	▼ Below Sector Med (55.7)	▲ Above Sector Med (28.2%)

10-Year Revenue & Net Profit (PAT) Trajectory (₹ Crore)



▲ INVESTMENT MERITS & STRENGTHS (PROS)

✔ Company is virtually debt-free with near-zero borrowings.

▼ RISK FACTORS & CONCERNS (CONS)

■ Sluggish top-line growth with 3-year revenue CAGR of 4.0%.
■ Earnings contraction over 3 years (PAT CAGR of -6.9%).
■ Sub-50 cash flow quality score (1/100) indicating working capital drag.

Peer Comparison, Valuation Multiples & Cash Flow Intelligence

Divis Laboratories Ltd (DIVISLAB) | Peer Group: Pharmaceuticals

Company	ROE (%)	ROCE (%)	OPM (%)	D/E (x)	P/E (x)	3Y Rev (%)	Composite
CIPLA	15.6%	19.2%	24.4%	0.02x	59.8x	10.4%	54.5
★ DIVISLAB	**11.8%**	**13.5%**	**28.2%**	**0.00x**	**70.0x**	**4.0%**	**44.9**
DRREDDY	19.7%	21.4%	28.3%	0.07x	11.7x	13.7%	59.6
SUNPHARMA	15.1%	15.6%	26.8%	0.05x	37.9x	13.1%	66.0
TORNTPHARM	24.2%	23.5%	31.4%	0.59x	46.4x	10.3%	55.7

Valuation Multiple	Company	Sector Median	DCF Implied Value & Status
P/E Ratio	70.0x	47.1x	**Implied Value:** ■20,171 Cr (-98.8%)
P/B Ratio	12.3x	4.7x	★ STATUS: OVERVALUED (PREMIUM)
EV / EBITDA	31.8x	23.2x	Market Cap: ■1,615,029 Cr

Capital Allocation Pattern: Reinvestor | 5-Year Operating vs Investing vs Financing Cash Flows

